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CALU Practice Note

Best practices for insured leveraging programs – Part II

Disclaimer

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Introduction

This Practice Note (Parts I and II) is designed to provide guidance to CALU members on how to identify appropriate clients for insured leveraging programs and ensure you have the necessary information to guide them and their other professional advisors in making an informed decision before implementation. Each client's circumstances will of course influence the nature of the information that needs to be provided.

Practice Note (**Part I**) focused primarily on issues relating to marketing leveraged programs, client communications and disclosure, due diligence on lending arrangements and longer-term management issues.

This Practice Note (Part II) will build on three previously issued CALU Practice Notes and will focus on the key tax issues pertaining to insured leveraging programs.[1]

Executive summary

As noted in Part I, most lending institutions accept the cash value of a life insurance policy as collateral security for a personal, investment or business loan. This can be attractive from the borrower's perspective as the collateral assignment of the policy does not result in a policy disposition,[2] the policy values continue to grow on a tax-deferred basis,[3] and any loan outstanding on the death of the borrower can be repaid with part or all of the tax-free life insurance proceeds.[4]

The ability to borrow against the cash values of a policy in the early years of ownership (rather than holding the policy until retirement and then borrowing against the policy's cash values[5]) has become increasingly popular. This permits the policyholder to replace a substantial portion of the capital/cash flow used to pay the insurance premiums and direct the borrowed funds towards investment or business purposes. Part II specifically focuses on the tax consequences arising from implementing an early financing arrangement (EFA), including the requirements of the Act that must be satisfied to deduct the loan interest and claim the collateral insurance deduction.[6] [7]

There are a variety of ways to structure an EFA. For example, the life insurance policy may be owned by a high-net-worth individual who uses the policy as collateral for a personal loan which in turn may be used for investment or business purposes. The shareholder of a private corporation may choose to establish an EFA within their private corporation. The corporation would be the owner and beneficiary of the life insurance policy and use the policy as collateral security for an investment or business loan. Another option would be for the private corporation to be the owner and beneficiary of the life insurance policy and permit the policy to be used as collateral security for an investment loan taken out by the shareholder. Each of these arrangements can result in different tax considerations and are reviewed in Part II.

Part II also discusses situations where there is a Holdco/Opco structure, and the shareholder wants to establish an EFA in Holdco. There can be different tax considerations based on how the premiums for the policy are being funded by Holdco and who is the beneficiary of the life insurance policy. The Canada Revenue Agency (CRA) has also issued a number of technical interpretations relating to Holdco/Opco insurance arrangements that need to be considered by the client and tax advisors.

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[1] Please refer to the following Practice Notes: "**Leveraged Insurance Arrangements – Golini v. The Queen**" (August 2016); "**Corporate Owned Insurance – Shareholder Borrowing**" (September 2016) and "**Leveraged Insured Annuities**" (February 2017).

[2] Paragraph (f) of the definition of disposition in subsection 148(9) of the Income Tax Act, .R.S.C. 1985, c. 1 (5th Supplement), as amended (the "Act"). Unless otherwise stated all statutory references in this Practice Note are to the Act.

[3] An exempt life insurance policy is not subject to the income accrual rules by virtue of paragraph 12.2(1)(a).

[4] Paragraph (j) of the definition of disposition in subsection 148(9).

[5] Often referred to as insured retirement programs or IRPs. However, many of the same tax consideration will also apply to IRPs.

[6] Paragraph 20(1)(c).

[7] Paragraph 20(1)(e.2).

Part II also reviews the potential application of the proposed revisions to the Alternative Minimum Tax and evolving tax rules that may require the mandatory reporting of certain aggressive tax transactions or the possible application of the General Anti-Avoidance Rules (GAAR) to the transactions. The application of the new mandatory reporting rules or GAAR will depend on the overall structure and purpose of the arrangement. For example, where a life insurance need has been clearly established and the policy is primarily for funding liquidity requirements arising on death, and secondarily to support a lending arrangement, the risks of these tax provisions being applied by the CRA are relatively low. On the other hand, where the acquisition of the life insurance policy is secondary to an overall plan designed to remove corporate surplus on a low tax basis, while the shareholder is still alive, the potential risks of these provisions being applied by the CRA substantially increases. The discussion in this Practice Note relating to these rules must therefore be considered in this context.

Finally, Part II includes a discussion of the 10/8 policy and LIA policy rules. While most insurance and lending arrangements involving Canadian life insurance companies and lenders are designed to ensure an arrangement is not subject to these rules, there is greater likelihood that an EFA arrangement funded by foreign life insurance (and annuity products) may either be caught by these rules or the potential application of the GAAR. Clients must therefore tread carefully and obtain Canadian tax advice before proceeding with an offshore EFA.

In summary, the rules relating to the tax treatment of EFAs can be very complex, particularly when dealing with structures involving corporations, trusts and non-resident entities. It is important for prospective clients to have independent legal, tax and accounting advice, and that members be aware that certain structures may result in them assuming reporting obligations to the CRA and penalties for failing to satisfy these obligations. As well, professional liability issues may arise for CALU members and other professional advisors if clients are not properly advised of the tax and financial risks associated with EFAs.

Interest deductibility

One of the fundamental tax issues with an EFA is whether interest paid by the borrower will be deductible for tax purposes. The following is a general discussion of the federal interest deductibility rules as they may relate to EFAs.[8] The client's tax and accounting advisors will need to be engaged to ensure an EFA is established and maintained in such a way that interest expenses will be deductible over the course of the program, assuming this is the intention of the client.

Generally, interest expense is considered a capital expenditure and is not deductible unless it meets the specific requirements of the Act. The legislative requirements for interest deductibility are generally as follows:

- The interest is paid or payable in respect of the year pursuant to a legal obligation on:
    - borrowed money used for the purpose of earning income from a business or property;[9] or

[8] Note that Quebec provincial tax rules (the Quebec Taxation Act) contain additional rules that may limit the deduction of interest on borrowed funds. A discussion of these rules is beyond the scope of this Practice Note.

[9] Income includes interest, rents, royalties, business income and trading gains. However, pursuant to subsection 9(3), it does not include capital gains.

- an amount payable for property acquired for the purpose of gaining or producing income from the property or for the purpose of gaining or producing income from a business.[10]

Interest paid on borrowed funds to acquire or produce income from an interest in a life insurance policy is specifically excluded from the interest deductibility rules.[11] Therefore, as discussed in **Part I**, all relevant documentation and implementation steps should confirm that the purpose and actual use of the borrowed funds is not related to the acquisition and funding of a life insurance policy.[12] Instead, the borrowed funds should be used to replace the liquid capital used by the policyholder to pay the insurance premiums. In effect, the policyholder should use personal or corporate resources to pay the insurance premiums, with the leverage facility being used to replace that capital, which in turn will be deployed for business or investment purposes. In addition, any property or investments acquired with the borrowed funds should not be liquidated in the future to pay premiums on the life insurance policy, as this will result in the loss of interest deductibility on those borrowed funds.

The borrower will need to pay the annual interest charges on the borrowed funds. It is recommended that the borrower use their own funds to pay the interest charges, borrow additional amounts to replace those funds, and invest the borrowed funds for income producing purposes. In these circumstances and provided there is proper tracing of the direct use of the borrowed funds, the interest charges on these additional borrowings should also be deductible for tax purposes. If the interest on the loan is not paid and left to compound, the compound interest is only deductible when it is actually paid.[13]

It is also important to take steps to ensure that the interest expense deduction is not lost in the future. This can be most easily accomplished by segregating investments that are acquired with borrowed funds from those investments acquired with personal or corporate funds.[14] If the investments that were acquired with borrowed funds are commingled with other investments, and some of the investments from this account are subsequently sold with the proceeds being used for personal purposes, this could result in the possible denial of some or all of the associated interest expense deduction.[15]

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[10] Paragraph 20(1)(c). Another requirement is that the amount of interest be “reasonable”.

[11] It is also evident from the interest deductibility rules that interest payable on borrowed funds that are used for personal expenditure will not be deductible. However, depending on the circumstances, it may be possible to use investment capital to fund personal/retirement expenditures and borrow funds to replace that investment capital in order to qualify for interest deductibility.

[12] As will be discussed later in Part II, if the policy is a 10/8 policy interest deductibility will be denied even where it can be demonstrated that interest on the borrowed funds would otherwise be deductible (subsection 20(2.01)).

[13] Paragraph 20(1)(d). See also paragraph 1.81 of Income Tax Folio S3-F6-C1, Interest Deductibility dated March 16, 2016, herein referred to as the “Interest Deductibility Folio”. But also see paragraph 1.82 of the Interest Deductibility Folio where it is indicated that interest paid or payable in the year on a second loan that is used to pay interest on a first loan is deductible in computing income of a business or property if the interest on the first loan is deductible.

[14] This is known as “cash damming”. See paragraph 1.34 of the Interest Deductibility Folio.

[15] However, the CRA has indicated there is some flexibility in its approach to interest deductibility in these circumstances. See paragraph 1.42 of the Interest Deductibility Folio.

A corporation may, subject to certain limits, use borrowed funds to redeem shares, pay dividends or return capital to a shareholder or business partner and deduct the associated interest.[16] It is also possible for the shareholder of a private corporation to borrow funds to lend to the corporation or acquire shares in the corporation, and deduct the related interest expense.[17] Generally, a shareholder may also deduct interest on a loan that is used to make an interest-free loan to a wholly-owned corporation (or in cases of multiple shareholders, where shareholders make an interest-free loan in proportion to their shareholdings). However, to maintain interest deductibility, it is important that the corporation does not subsequently repay part or all of that loan.

There is a special deeming rule that applies where a taxpayer uses borrowed money to repay money previously borrowed, or to repay an amount for previously acquired property. In these circumstances, for the purposes of the interest deductibility rules, the borrowed money will be deemed to be used for the same purpose as the original borrowing, or as having been used to acquire the same property, as the case may be, and therefore interest deductibility can be preserved.[18]

If interest on borrowed funds is deductible for tax purposes, it will remain deductible even if the value of that property declines in the future. In addition, subject to certain conditions, deductibility of interest may continue where capital property (other than real or immovable property or depreciable property) is disposed of at a loss, part of the loan is repaid with those funds, while the remaining loan continues to be outstanding.[19] In this regard, the interest deduction will be allowed even when the investment involving the property or business is not profitable, as long as the taxpayer had a reasonable expectation of earning income at the time the investment was made.[20]

Another more recent development relating to corporate interest deductibility is the "excessive interest and financing expenses limitation" rules (the EIFEL rules).[21] First announced in Budget 2021, the EIFEL legislation is designed to limit the deductibility of interest for certain public and larger private corporations. The 2022 Fall Economic Statement (FES 2022) included amendments to the existing draft legislation which broaden the exemptions set out in the original legislation. Importantly, the exemption for Canadian-controlled private corporations (CCPCs) has been modified such that the rules apply only where a CCPC (and associated corporations) have taxable capital employed in Canada exceeding $50 million. It is also proposed that these rules apply in respect of taxation years beginning on or after October 1, 2023, rather than January 1, 2023.

While these rules will not have general application to CCPCs, they could apply where that corporation is part of a group that includes a non-resident corporation. Therefore, assuming this legislation is enacted, it will be important for a client's tax and accounting advisors to review the corporate structure (including all related

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[16] Paragraphs 1.48-1.53 of the Interest Deductibility Folio.
[17] Paragraphs 1.54-1.57 and paragraphs 1.69-1.70 of the Interest Deductibility Folio.
[18] Subsection 20(3).
[19] Section 20.1. See also paragraph 1.41 of the Interest Deductibility Folio.
[20] Paragraph 1.26 of the Interest Deductibility Folio, citing Ludco Enterprises Ltd. et al. v. The Queen, 2001 SCC 62, DTC 5505.
[21] The most current version of the rules was released with the 2022 Fall Economic Statement (Department of Finance, November 3, 2022).

corporations, trusts and partnerships) to determine if the EIFEL rules may reduce the interest expense deduction arising from the EFA.

Collateral insurance deduction

In circumstances where an insurance policy is collaterally assigned as security for a loan, and the loan interest is deductible, the "collateral insurance" deduction may be available to the borrower. The collateral insurance deduction is available where:

- a taxpayer borrows funds from a "restricted financial institution";[22]
- the interest payable on the loan would be deductible in computing the taxpayer's income for the year, and
- a life insurance policy is required by the institution to secure the debt.[23]

The deduction is equal to the lesser of the premiums payable under the policy in respect of the year and the net cost of pure insurance (NCPI)[24] for the policy in respect of the year. The deduction will be prorated if the insurance coverage exceeds the outstanding loan amount in that year.[25]

There is a further requirement that the borrower and the policyholder be the same person. For example, if an individual shareholder is the borrower, and a corporation controlled by the shareholder owns and pays the insurance premiums, no collateral insurance deduction will be available. Further, no deduction may be claimed in the year the life insured dies.[26]

Where the life insurance policy has no specified contractual premium, and insurance costs are funded by the policy's cash values, no deduction will be available. The CRA has expressed the view that the premiums under these policies must actually be paid in the year to qualify for a deduction.[27] On the other hand, if the premiums

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[22] See definition of "restricted financial institution" in subsection 248(1), which includes a bank, credit union or insurance company.
[23] Paragraph 20(1)(e.2).
[24] The formula for determining a policy's NCPI is set out in Regulation 308 of the Act and calculates the annual mortality charges of a life insurance policy for certain tax purposes. The NCPI of an insurance policy typically increases every year and may eventually exceed the annual premium payable for the insurance coverage.
[25] Subparagraph 20(1)(e.2)(iii). See also CRA Technical Interpretation (TI) 2006-0174781C6 dated May 9, 2006. For example, if the outstanding loan is $200,000, and the death benefit under the policy is $500,000, the deduction will be 40% of the lesser of the premiums payable for the policy and the NCPI charge for the year.
[26] CRA TI 2012-0435671C6 dated May 8, 2012. NCPI is determined as of the end of each calendar year. Since the policy will not exist by the end of the year the insured person dies, NCPI for the year of death will always be nil. This also explains why the deduction will never be available for the year of death: the lesser of NCPI and premiums paid for that year will likewise always be nil.
[27] In CRA TI 2007-0241911C6 dated October 5, 2007 (French and English) the CRA stated "it is our opinion that the amounts the insurer withdraws from the accumulation account to cover the costs of insurance and related fees do not constitute premiums."

under a life insurance policy with a specified contractual premium[28] are paid by internal values (for example, a policy dividend, performance bonus or the surrender of paid-up additions), the CRA has indicated they will consider that premiums have been paid for purposes of the collateral insurance deduction.[29]

As discussed below, the collateral insurance deduction is not available if the policy is a 10/8 policy or a LIA policy.

It should be noted that the collateral insurance deduction does not result in an adjustment to the adjusted cost basis (ACB) of the life insurance policy.[30] In addition, where a corporation is the borrower, and assigns a life insurance policy as collateral security for a loan, the corporation will generally be entitled to a credit to its capital dividend account (CDA) even where some or all of the insurance proceeds are paid to the financial institution in repayment of the loan.[31]

Corporate owner/guarantor - Shareholder benefit issues

It is possible to structure an EFA with the corporation as the owner, premium payor and beneficiary of an insurance policy on the life of a shareholder, with the corporation agreeing to collaterally assign the policy as security for a loan to the shareholder.[32] There are a number of additional tax issues and risks arising from this type of EFA structure that need to be considered and addressed as discussed below.

Corporate guarantee of the loan

The CRA has stated that whether a taxable benefit arises when a corporation pledges its assets to secure a loan to an individual shareholder is a question of fact. The CRA has indicated the following factors are relevant in determining if there is a taxable benefit:

- Does the shareholder deal at arm's length with the corporation?
- Is there evidence that the shareholder is unable to repay the loans when the corporation provides the support for the borrowing?
- Is the shareholder required to pay a reasonable fee to the corporation for providing the guarantee or security?

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[28] For example, a whole life policy.
[29] CRA TI 2007-0241911C6 dated October 5, 2007 (French and English).
[30] The ACB of a life insurance policy is defined in subsection 148(9).
[31] Canada v. Innovative Installation Inc., 2010 FCA 285, DTC 5175 [at 7317]; Income Tax Folio S3-F2-C1 – Capital Dividends dated July 25, 2019 (paragraphs 1.66-1.72).
[32] This structure may make sense where the corporation is paying tax at a lower rate than the shareholder. As a result, it is more cost effective on an after-tax basis for the corporation to fund the insurance premiums, whereas there is a greater tax benefit for the shareholder to borrow the funds and claim the related interest expense deduction. However, at discussed later in Part II, this structure results in the collateral insurance deduction not being available to either the shareholder or the corporation. This structure may also be subject to greater risk of CRA challenge under the general anti-avoidance rule (GAAR), particularly if the changes to the GAAR proposed in Budget 2023 are enacted without significant changes. Please refer to the GAAR section in this Practice Note.

The CRA has indicated that one method of calculating the amount of the benefit is to compare the difference between the actual interest rate charged on the loan and the rate that would have been applicable without the corporation's collateral security.[33] Another method of calculating the amount of the benefit is to determine what an arm's length party would charge for providing such a guarantee.

However, this shareholder benefit issue can be addressed/mitigated by the shareholder paying a guarantee fee to the corporation. The CRA has indicated that where the shareholder pays a "reasonable" guarantee fee to the corporation as consideration for granting the guarantee, the guarantee would not in and by itself, give rise to a benefit.[34] What constitutes a reasonable fee is a question of fact and would likely be based on what an arm's length party would charge to guarantee a loan to the shareholder. Documenting the basis for determining the amount of the guarantee fee will be important in the event the arrangement is audited by the CRA.

It is also important to note that the guarantee fee will be deductible by the borrower (assuming interest on the loan itself is deductible) and the receipt of the guarantee fee will be taxable income to the corporation.[35]

Back-to-back loans

The Act contains rules that generally includes in an individual's income the value of any loans received from a corporation in which the taxpayer was a shareholder, if the loan is not repaid within one year after the end of the taxation year of the lending corporation.[36] The government was concerned that these rules could be avoided by the corporation facilitating an indirect loan to the shareholder through an intermediary. This resulted in the introduction of the "back-to-back" shareholder loan rules,[37] which will deem certain third-party loans to have been made by the corporation to the shareholder for purposes of the shareholder loan rules.

The scope of the back-to-back rules was initially uncertain and both the CRA and Department of Finance (Finance Canada) have provided helpful commentary on its application to specific lending arrangements. The CRA has confirmed that these rules will, in general, not apply to situations where property owned by a corporation (such as a life insurance policy or an investment in a mutual fund) is assigned by that corporation to a financial institution to secure a loan to a shareholder. However, it must be demonstrated that the property given as collateral security is only available to the financial institution in order to secure the repayment of the loan and not for any other purpose.[38]

It is therefore important to ensure that the loan and securitization documentation confirm that the only purpose of the collateral security is to ensure the repayment of the loan, and the lender does not have broader rights to liquidate and/or use the collateral for any other reason, such as raising capital to support the loan.

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[33] CRA TI 2000-0002575 dated March 29, 2000.

[34] CRA TI 2006-0174011C6 dated June 29, 2006. This was recently confirmed by the CRA in a slightly different context (Question 5 - APFF 2022 CRA Roundtable).

[35]Question 5- APFF 2022 CRA Roundtable.

[36] Subsections 15(2) and (2.6).

[37] Subsections 15(2.16) to 15(2.192).

[38] CRA TI 2018-0745491C6 dated May 8, 2018.

Default and surrender of the policy

If a collateral deficiency arises under an EFA, the shareholder may have to liquidate personal or corporate assets to ensure there is no default under the loan arrangement.[39] If the shareholder/borrower fails to correct this deficiency, the lender may act under the collateral security agreement to seize and surrender the life insurance policy. This could trigger adverse tax consequences to both the borrower and corporate guarantor. First, as a result of the surrender of the insurance policy, the excess of the cash surrender value (CSV) over the adjusted cost basis (ACB) of the policy will be included in the corporation's income.[40]

In addition, the use of corporate assets to directly repay the shareholder's loan could result in the assessment of a shareholder benefit equal to the amount of the repayment by the corporation. This result can be avoided if the lender is prepared to allow the CSV of the policy to be received by the corporation and paid to the shareholder as a dividend, who in turn would repay the outstanding loan. However, in this case the corporation would continue to be responsible for taxes on any policy gain, and the shareholder will need to contend with the tax liability arising from the payment of the dividend.[41]

Alternatively, the shareholder could enter into a loan agreement with the corporation for the repayment of amounts paid by the corporation under the security arrangement. While the amount of such loan will be included in the shareholder's income if it is not repaid within one year after the end of the taxation year of the lending corporation,[42] there is a corresponding deduction when the shareholder subsequently repays this loan.[43]

Sale of the corporation

There are several risks in owning a life insurance policy on the life of a shareholder in an operating company. From a tax perspective, if the shareholder wishes to sell the operating company, careful consideration must be given to what happens to the life insurance policy which is being used to guarantee the loan to the shareholder. Either new security must be provided for the loan directly by the shareholder/borrower, or the policy must be transferred to the shareholder, or another corporate entity owned by the shareholder.

Any transfer of the policy will be governed by subsection 148(7), which provides that the deemed proceeds of disposition (and the deemed acquisition price to the transferee) will be the greatest of three amounts (determined at the time of disposition):

- The value[44] of the interest in the policy;
- The ACB of the policyholder's interest in the policy; and

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[39] The liquidation of assets could also result in the tax reporting of capital gains or realization of capital losses.
[40] Subsection 148(1) and paragraph 56(1)(j). It is also important to note that the corporation/shareholder's estate will lose access to the life insurance proceeds that would have otherwise been payable on death.
[41] As the shareholder is still alive, the proceeds arising from the surrender of the life insurance policy are not credited to the corporation's CDA. As a result, the dividend paid to the shareholder to repay the loan cannot be a tax-free capital dividend under subsection 83(2) of the Act. Please refer to Part I of the Practice Note for a discussion on disclosure of these tax risks to the client and their other professional advisors.
[42] Subsections 15(2) and (2.6).
[43] Provided all the requirements of paragraph 20(1)(j) of the Act are satisfied.
[44] Value is defined in subsection 148(9) to be the CSV of the policy.

- The fair market value of any consideration given for the interest in the policy.

Assuming no consideration is provided by the shareholder for the transfer of the life insurance policy, the deemed proceeds will be the greater of the policy's CSV and ACB. This will result in a policy gain to the corporation once the policy's CSV exceeds its ACB.

In addition, to the extent the transferor does not receive consideration equal to the fair market value of the policy, this could result in a taxable benefit to the transferee or a related party.[45] There may be ways to structure the transfer, such as a distribution of the policy to the shareholder as a dividend in kind, that might mitigate this tax impact. However, the best approach is to ensure the policy is not held in a corporate entity that might be sold in the future.

Repayment of the loan on death

The death of the shareholder will normally require repayment of the outstanding loan balance. If the loan is repaid directly by the proceeds of the life insurance policy under the collateral assignment, a taxable benefit will be assessed to the shareholder in the year of death.[46] However, the assessment of a shareholder benefit may be addressed/mitigated with appropriate documentation relating to the shareholder's obligations and careful planning at the time of death.

For example, the estate of the deceased shareholder might be able to provide new security to the lender in replacement of the life insurance policy. Upon the receipt of the life insurance proceeds, the corporation would then pay a dividend to the estate equal to those proceeds. A significant portion of the death benefit can be received as a tax-free capital dividend.[47] The estate can use the after-tax proceeds to repay all or substantially all of the deceased's personal borrowings.

Another approach would be for the deceased shareholder's estate to provide a promissory note to the corporation equal to the amount of the loan repaid through the life insurance proceeds. Despite the insurance proceeds being used to repay the deceased's loan, the corporation will still be entitled to a credit to its CDA. It can therefore pay a capital dividend to the deceased estate, satisfied by way of a promissory note which can be used to offset all or substantially all of the debt between the estate and the corporation arising from the repayment of the deceased's loan. Presumably this will reduce or eliminate the shareholder benefit that might otherwise be assessed under this arrangement.

As is evident from the above discussion, it would be prudent for the shareholder/borrower and the lender to properly document the process for repaying the outstanding loan on the death of the life insured, in order to minimize the possibility of a taxable shareholder benefit being assessed to the deceased.

[45] Subsection 15(1).
[46] Ibid.
[47] Subsection 83(2).

Holdco owner/Opco as premium funder – Tax considerations

In certain situations, the life insurance policy may be owned by a holding company (Holdco) with the operating company (Opco) directly or indirectly funding the insurance premiums paid by Holdco.[48] This protects the policy from creditors of Opco and permits the retention of the life insurance policy in the event that Opco is sold to a third party. Under this arrangement either Holdco or Opco could be a beneficiary under the life insurance policy. [49] As discussed below, where Opco is the beneficiary of the policy there are several different tax considerations.

Reimbursement of premiums by Opco

Where Opco is a revocable or irrevocable beneficiary of the life insurance policy owned by Holdco, there may be an arrangement under which Opco reimburses Holdco for the premiums relating to the death benefit that will be payable to Opco.[50] The CRA has previously indicated that where Opco is the *irrevocable beneficiary* of a life insurance policy owned by Holdco, the reimbursement of the premium to Holdco might be included in Holdco's income under section 9 or paragraph 12(1)(x).[51] [52] The CRA has more recently confirmed that the views expressed in the earlier interpretation remain unchanged and that they are unable to provide any further comments regarding the applicability of those provisions. The CRA added that the potential application of section 9 or paragraph 12(1)(x) to any particular Holdco owner/Opco beneficiary insurance arrangement can only be ascertained on a case-by-case basis after a review of all the relevant facts and agreements between the parties.[53]

A recent Tax Court of Canada decision[54] considered a situation where a permanent life insurance policy on the life of the taxpayer (Mr. Roy) was owned by a holding company (Gestion Roy) controlled by Mr. Roy. In turn, Gestion Roy was the majority shareholder of a consulting firm (R3D). R3D was the revocable beneficiary of the life insurance policy and paid all the premiums under the policy. The Tax Court held that the payment of the premiums by R3D was taxable to Gestion Roy under subsection 15(1) since it was entitled to the cash surrender value of the policies despite R3D being the beneficiary. The Tax Court indicated that it was irrelevant that Gestion Roy never received any distributions from the life insurance policy.

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[48] However, it most situations involving a Holdco, it would be the owner/beneficiary and premium payor for the life insurance policy, with dividends being paid by Opco to assist Holdco with funding the life insurance premiums.
[49] If Opco owns the policy and designates Holdco as the beneficiary this will result in a shareholder benefit under subsection 15(1). See CRA TI 2009-0347291C6 dated November 24, 2009. See also Harding v. The Queen, 2022 TCC 3 where the Tax Court of Canada held that a benefit was conferred under subsection 15(1) (equal to the premiums paid) when a corporation pays the premiums on corporate-owned life insurance policies insuring the lives of the sole individual shareholder and his spouse, and the spouse/shareholder's stepchildren were named as beneficiaries under those policies.
[50] The determination of the amount to be reimbursed is at the discretion of the parties but is typically based on the annual premium or an estimate of the annual mortality expenses applicable to the insurance coverage.
[51] Subsection 9(1) includes in a taxpayer's income any income from a business or property for the taxation year. Paragraph 12(1)(x) generally requires a taxpayer to include in income for a taxation year an amount received in the year from another person who pays the amount for the purpose of gaining or producing income from a business or property if the amount can be considered to be a reimbursement or allowance, to the extent that the amount is not otherwise included in the taxpayer's income.
[52] CRA TI 2010-0359421C6 dated May 4, 2010.
[53] CRA TI 2021-0882441E5 dated September 28, 2022.
[54] Gestion M.-A. Roy Inc. v. The King, 2022 CCI 144 (TCC). Herein the "Roy Decision".

In the same decision the Tax Court considered the tax treatment arising from the ownership of another permanent life insurance policy on the life of Mr. Roy. In this case, the policy was owned by a second holding company (445 Canada) controlled by Mr. Roy. While 445 Canada was not a shareholder of R3D, R3D was designated as the revocable beneficiary of the policy, and it also paid the premiums under this policy. In this case the Tax Court held that the premium payments by R3D were a taxable benefit to 445 Canada under subsection 246(1). The Tax Court of Canada also suggested it would have arrived at the same conclusions with respect to both Gestion Roy and 445 Canada even if R3D had been designated as the irrevocable beneficiary under both policies. It is important to note that this decision has been appealed by the taxpayer.

Based on the forgoing CRA interpretations and the Roy decision, taxpayers should avoid establishing arrangements where the corporate beneficiary (whether revocable or irrevocable) is paying the premium or reimbursing the corporate owner of the policy (whether it is a Holdco or another affiliated corporation) for payment of the insurance premiums. Where there is a Holdco/Opco relationship, the safer route would be for Opco to pay dividends to Holdco to assist in the payment of the insurance premiums.

Indirect benefit provisions

The CRA has previously indicated that where Holdco is the owner of an insurance policy, and Opco is the beneficiary of that policy, subsection 246(1) could apply to require Holdco to include in income the value of any benefit conferred on Opco, to the extent that it is not otherwise included in computing Opco's income, and to the extent that it would be included in Opco's income if it were a payment made directly to Opco.[55]

Given more recent changes to tax legislation governing the calculation of the credit to the CDA arising from the receipt of life insurance proceeds,[56] the CRA was recently asked to comment on whether its views on the application of subsection 246(1) to a Holdco ownership/Opco beneficiary arrangement remain the same. The CRA indicated that their views remain unchanged and specifically commented as follows:

> … any determination of whether … subsection 246(1) of the Act apply to a particular Parentco/Subco arrangement involving life insurance policies can only be ascertained, on a case-by-case basis, after a comprehensive review and analysis of the relevant facts and agreements amongst the parties (including any valuation considerations, as appliable).[57]

It is important to note that for subsection 246(1) to apply to this particular arrangement, it must be established that the "value of the benefit" (presumably the payment of the life insurance premium) would be included in Opco's income if Holdco made the payment directly to Opco. However, it would be possible for Holdco to provide Opco with the funds necessary for Opco to directly pay the premiums for the life insurance policy on a

[55] CRA TI 2010-0359421C6 dated May 4, 2010.
[56] The definition of capital dividend account in subsection 89(1). This definition was amended in 2016 to clarify that the adjusted cost basis of *any* interest in the life insurance policy will reduce the credit to the capital dividend account arising from a corporation being the beneficiary of a life insurance policy.
[57] CRA TI 2021-0882441E5 dated September 28, 2022.

non-taxable basis, such as a shareholder loan or contribution of capital. Thus, there is a strong argument that this particular element of subsection 246(1) will not be satisfied in these circumstances.[58]

Dividends from Opco to Holdco to pay premiums

Where Holdco is owner and beneficiary of the policy, Opco could pay taxable dividends to Holdco to fund the life insurance premiums.[59] The receipt of such dividends should be deductible from Holdco's income.[60] As well, since Holdco and Opco are "connected" for purposes of the Act, there will be no Part IV refundable tax payable by Holdco on the dividends received provided Opco does not receive a dividend refund in respect of the payment of those dividends.[61]

However, these dividend payments may trigger the application of subsection 55(2) of the Act. If subsection 55(2) applies to a dividend payment, it will be deemed to be a capital gain from the disposition of a capital property, unless there is sufficient "safe income" allocated to shares held by Holdco to cover the dividend payment.[62] Should subsection 55(2) apply to the dividends, this will significantly increase the tax cost to Holdco from receiving the dividends.

Cash value of insurance as a corporate asset

Accumulating high cash values in a corporate-owned life insurance policy as part of an EFA needs to be considered in terms of the corporation's access to the small business deduction. This is because the cash value of the policy will be included in the computation of a corporation's taxable capital employed in Canada ("taxable capital").[63] The amount of the small business deduction is reduced to the extent that the corporation's taxable capital exceeds $10 million and is completely eliminated when taxable capital exceeds $50 million.[64]

In addition, the owner of shares that are qualified small business corporation shares is currently entitled to a lifetime capital gain exemption of approximately $1 million in respect of capital gains realized on the disposition of those shares.[65] Life insurance cash values are considered to be passive assets for purposes of determining the eligibility of shares for the capital gains deduction. Therefore, if the cash surrender value of the leveraged insurance policy becomes too large in relation to the corporation's active business assets, this can impair a shareholder's access to the capital gains exemption. This concern might be managed by having a holding company own the life insurance policy rather than having it owned by the small business corporation. However, this planning should also include the individual continuing to own sufficient shares directly in the small business corporation.

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[58] See also "Taxable Benefits and Corporate-Owned Life Insurance", CALU Report, October 2015, which discusses the possible application of subsection 246(1) to Holdco Owner/Opco Beneficiary arrangements in more detail.
[59] This payment of dividends from Opco to Holdco is the preferred approach as it avoids the taxable benefit issues noted in the prior sections.
[60] Subsection 112(1).
[61] Subsection 129(1) and paragraph 186(1)(b).
[62] Defined in paragraphs 55(5)(b) and (c).
[63] It is important to note that the overall impact to the corporation's access to the small business deduction will depend on how the funds being used to pay insurance premiums would otherwise have been utilized by the corporation.
[64] Section 125 of the Act.
[65] Section 110.6.

Corporate-owned insurance for leveraging purposes may also impact the valuation of the shareholder's shares in the corporation for purposes of the deemed disposition rules on death.[66] Subsection 70(5.3) of the Act generally provides that, for purposes of determining the fair market value (FMV) of shares in a private corporation that are deemed to be disposed of as a consequence of the death of a shareholder, the FMV of any corporate-owned life insurance policy on the shareholder's life (or non-arm's length persons) will be equal to the policy's CSV immediately before death. However, this rule does not apply to corporate owned life insurance on the lives of arm's length shareholders. It is therefore possible that the value of certain corporate-owned policies could be significantly greater than their CSV, further increasing the value of the corporate shares for purposes of subsection 70(5).

Similarly, the value of corporate-owned life insurance may impact share valuation on death for purposes of provincial probate fees or taxes. This may be of particular concern in Nova Scotia, Ontario and British Columbia, which have relatively high probate fees/taxes. The use of a secondary will may negate this issue, at least in British Columbia and Ontario.[67]

Life insurance and the Capital Dividend Account (CDA)

Adverse tax results can arise where a holding company owns life insurance as part of an EFA and another corporation (e.g., Opco) is designated as beneficiary for part of the death benefit.

Tax changes made in 2016 eliminated the potential enhancement to the CDA where a life insurance policy is owned by one corporation and another corporation is the beneficiary. These changes are effective for deaths occurring after March 21, 2016 and result in the CDA credit being reduced by the ACB of "a policyholder's interest in the policy" immediately before death. [68] The ACB of the policy will therefore reduce the CDA credit even though the corporate beneficiary is not the owner of the policy.

However, the revised CDA definition does not contemplate that the ACB of the policy should be apportioned where there is more than one beneficiary under the policy and at least one of the beneficiaries is a corporation, or situations where the life insurance policy is jointly owned and at least one of the owners/beneficiaries is a corporation. The CRA has confirmed that in both scenarios the full ACB of the policy will be included in the calculation of the credit to the CDA of each corporate beneficiary. In other words, the revised definition of the CDA does not allow for the proration of the policy's ACB in these scenarios. [69]

In certain circumstances this can result in a significant and unexpected reduction in the overall CDA in comparison to situations where there is only one corporate beneficiary under the life insurance policy. It is therefore important to avoid having multiple corporate beneficiaries as part of an insured leverage program, as

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[66] Subsection 70(5).
[67] Nova Scotia legislation specifically negates the use of multiple will planning to avoid payment of probate fees.
[68] Paragraph (d)(iii)(B) of the definition of capital dividend account in subsection 89(1). Prior to this amendment the ACB of the policy would not reduce the CDA credit where the corporate beneficiary was not also the policyholder. See also Rogers Enterprises (2015) Inc. v. The Queen 2020 TCC 92, where the CRA was unsuccessful in using the GAAR to challenge CDA additions where the corporate beneficiaries were different from the corporate owners of the relevant life insurance policies and the life insured died before March 22, 2016.
[69] CRA TIs 2017-0690311C6 (dated May 18, 2017) and 2018-0745811C6 (dated May 8, 2018).

the aggregate CDA credit could be significantly lower (due to large early premium payments or deposits) than it would be if there was only one corporate beneficiary.[70] If another corporation in a corporate group requires life insurance coverage it will often make sense for that corporation to acquire and fund a separate policy.

Alternative Minimum Tax (AMT)

Individual taxpayers are generally subject to AMT where their regular Part I tax calculated under the general rules is less than the amount calculated under the AMT rules. The existing AMT applies at a rate of 15 per cent of an individual's adjusted taxable income (ATI), reduced by a basic exemption of $40,000, less certain non-refundable tax credits.[71]

In general terms, ATI is determined by adjusting the individual's taxable income (computed in the regular manner) to account for various types of income or deductions receiving a preferential treatment (e.g., capital gains, lifetime capital gains exemption, dividends, employee stock options, tax shelter deductions, etc.). If Part I tax on the individual's regular income is less than the tax payable under AMT, the individual must pay additional tax equal to the amount by which the AMT is greater than the Part I tax.

AMT paid by an individual for a particular year can be carried forward for a period of seven years, such that it can reduce regular Part I tax in future years where Part I tax exceeds the AMT for that year. It is thus generally considered a temporary pre-payment of tax; it will only become a permanent tax if the individual does not earn enough "regular" income in the carryover period to offset it with his/her AMT carryover amount.

The 2023 federal Budget (Budget 2023) proposes a number of changes to the AMT rules, including:

- Increasing the AMT rate from 15 per cent to 20.5 per cent
- Increasing the AMT exemption (the deduction available in determining taxable income under the AMT rules) from $40,000 to the amount that is the start of the fourth federal tax bracket for individuals (approximately $173,000 in 2024, with indexation to inflation)
- Increasing the capital gains inclusion rate (for AMT only) from 80 per cent to 100 per cent while decreasing the deduction permitted for capital loss carry forwards and allowable business investment losses to 50 per cent
- Including in income for AMT purposes:
    - 100 per cent of the benefit associated with employee stock options which is reduced to 30 per cent if the securities are donated
    - 30 per cent of capital gains realized on the donation of publicly traded securities
    - Disallowing 50 per cent of a variety of deductions in calculating income for AMT purposes, including interest and carrying charges to earn income from property
- Allowing taxpayers to only claim 50 per cent of non-refundable tax credits, subject to certain exceptions including that the rules will continue to include the cash amount of dividends (i.e., not the grossed-up dividend) and fully disallow the dividend tax credit

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[70] CALU has formally made a request to Finance Canada to amend the CDA definition to permit the prorating of the ACB between corporate beneficiaries for purposes of determining the CDA credit to avoid this result.
[71] Sections 127.5 to 127.55.

It is important to note that these proposed changes can result in additional provincial AMT for individuals unless the provinces introduce changes to their AMT rules. The proposed changes are stated to apply for tax years that begin after 2023. However, under these proposals, AMT will still not apply to taxpayers in the year of death.

Assuming the proposed changes are enacted as proposed, individuals who are claiming interest and other carrying charges relating to an EFA may have greater exposure to AMT starting in 2024. It is important for such individuals to obtain tax and accounting advice in order to minimize their AMT exposure.

Reportable transaction rules

The reportable transaction rules are designed to require the reporting of aggressive tax planning structures to the CRA. This provides early notice to the CRA and the opportunity to review and potentially challenge the tax results of the planning structure.

Under the current rules, a transaction is a reportable transaction if it is an “avoidance transaction” (as defined for the purposes of the general anti-avoidance rule)[72] and bears at least two of the following three hallmarks:

- a promoter or tax advisor is entitled to a contingency fee
- a promoter or tax advisor requires confidential protection (i.e., a non-disclosure agreement), or
- the taxpayer receives protection from a failure to achieve the intended tax result, or funding for the defense or dispute of the tax result.[73]

Final legislation[74] has now been released that amends these rules so that they only require the transaction to bear one of the three hallmarks. The definition of “avoidance transaction” will also be amended so that it includes a transaction if it is reasonable to conclude that one of the *main purposes* was to obtain a tax benefit. In addition, where a taxpayer has entered into a reportable transaction, it must be reported within 90 days of the earlier of the day the taxpayer enters into the transaction and the day the taxpayer is contractually obligated to enter into the transaction (compared to the current due date of June 30 in the calendar year following the year in which the transaction occurred). “Promoters” and “advisors” will have reporting requirements with the same filing time limits with an exception where it is reasonable to believe that solicitor-client privilege applies to the information.

The proposed changes to the reportable transaction rules will substantially increase the number of tax-related transactions that need to be reported. One important issue for CALU members is whether they may become subject to these reporting obligations for advising on the implementation of an EFA. Based on the draft legislation, such an arrangement would likely now meet the definition of an “avoidance transaction”. Thus, the only other requirement that would need to be satisfied to have a reporting obligation is whether any one of the

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[72] Subsection 245(1).
[73] Definitions of “avoidance transaction” and “reportable transaction” in section 237.3.
[74] The Budget Implementation Act, 2023, No. 1 released on April 20, 2023 (Bill C-47). This legislation also includes the new notifiable transaction rules, which will apply to certain aggressive tax transactions identified by the CRA. It is expected this legislation will receive Royal Asset before the 2023 summer recess and will apply to any transactions entered into after that date. The new reporting rules may also apply to future transactions relating to a tax planning arrangement implemented prior to Royal Assent.

three hallmarks have been satisfied. This would be the case, for example, where the client is required to enter into a non-disclosure agreement relating to the leveraging arrangement.

As noted, the obligation of an advisor or promoter to file an information return in respect of a reportable transaction can arise when that advisor or promoter is entitled, either immediately or in the future, to a "fee" in respect of the reportable transaction (or any other transaction that is part of a series that includes the reportable transaction).[75]

The definition of "reportable transaction" generally describes a fee that is:

- based on the amount of the tax benefit from the avoidance transaction or series;
- contingent on obtaining the tax benefit from the avoidance transaction or series; or
- attributable to the number of persons who participate in the avoidance transaction or series, or the number of persons who have been provided access to advice or an opinion given by an advisor or promoter regarding the tax consequences of the avoidance transaction or series.

The CRA was recently asked to consider whether a reporting obligation arises under the existing reportable transaction rules in respect of the following fact situation:

> Assume Ms. A is licensed to sell certain financial products including investment and insurance products. She is approached by the tax advisor for Mr. B, with the request that she assist Mr. B in purchasing one of the financial products she is licensed to sell and which is generally available in the open market and bears normal commercial terms. Mr. B ultimately purchases the financial product and Ms. A receives compensation directly from the financial services company who developed this product. While the compensation Ms. A receives from the sale of the financial product is not contingent on the receipt by Mr. B of any tax benefit, the compensation is directly linked to the amount invested or deposited into the financial product purchased by Mr. B. Subsequently, the tax advisor for Mr. B, without Ms. A's knowledge, combines the financial product with certain other tax strategies where the existence and amount invested or deposited into the financial product purchased by Mr. B is used to obtain a tax benefit.

The CRA response is quite lengthy and is set out in the **CALU Special Report** entitled "2022 CRA-Finance Roundtable". The following summary commentary was also provided in respect to the CALU question and the CRA response:

> As evident from the question, there is a concern that a life insurance or investment advisor could sell a financial product to a client, and without their knowledge, this product could be used as part of a series of transactions that are captured by the mandatory reporting rules. This concern will only be increased if the new legislative proposals, which will extend the scope of the reporting rules to a greater number of tax motivated transactions, are enacted as currently drafted. The CRA response that it cannot confirm that Ms. A has no reporting obligation under the existing rules does not appear to be helpful. However, a review of the additional CRA commentary results in the conclusion that it is highly unlikely that the

[75] Paragraph 237.3(2)(c).

mandatory reporting rules will apply to Ms. A. This is supported by their reference to the Finance Canada technical notes released with the original mandatory reporting legislation, which indicates that, in general, product related fees and commissions will not fall within the definition of a "fee" for purposes of the mandatory reporting rules.

The CRA also mentions there is a "due diligence defence" that may be available to an advisor who is otherwise subject to the reporting rules. However, to benefit from this defence, the advisor must "exercise adequate care, diligence and skill to determine whether a tax benefit could result from the avoidance transaction or series for a person, and whether any two of the hallmarks[76] of the definition "reportable transaction" is applicable to the avoidance transaction or series." [77]

Thus, to qualify for the due diligence defence there may be an obligation on the advisor, considering the circumstances and acting prudently, to make inquiries to determine whether a tax benefit could arise from an avoidance transaction and if any of the hallmarks are present as part of the transaction. This would likely not be a normal line of inquiry made by an insurance or investment advisor when dealing with their clients.

To summarize, it would appear that life insurance and investment advisors would not typically be caught by the mandatory reporting rules by facilitating the sale of a widely available insurance or investment product and receiving the applicable compensation. But if there are other elements, such as the payment of fees to the advisor by a third-party "promoter", or other warning signs that the product will be used as part of a more complex tax strategy, it is advisable that further inquiry and/or tax advice be obtained to ensure compliance with the existing (and amended) reportable transaction rules.

The tax shelter rules

Similar to the reportable transaction rules, the tax shelter rules were enacted to deter tax avoidance through aggressive investment structures. The rules have been amended over the years to expand their application to new tax planning structures. While there have been no reported tax cases involving the application of the tax shelter rules to life insurance planning arrangements, there have been several CRA technical interpretations that will be discussed below. In addition, the enhanced mandatory reporting rules discussed above may draw the CRA's attention to insurance arrangements that might fall within the tax shelter definition.

The following discussion is intended to provide a high-level overview of the tax shelter rules and discuss advisor/client best practices to minimize the potential application of these rules to EFAs.

What is a tax shelter?

Three elements need to be satisfied for the arrangement to be treated as a tax shelter:[78]

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[76] The CRA's commentary is based on the current legislation that requires two hallmarks in order for a transaction to be subject to the reporting requirements.
[77] The Department of Finance has provided additional commentary on the application of the reportable transaction rules to specific situations in the Explanatory Notes issued with Bill C-47.

[78] Definition of tax shelter in subsection 237.1(1).

a) **Property requirement** – to be a tax shelter there must be the acquisition of "property". Property is defined very broadly under the Act[79] and can include a life insurance policy or property acquired as a result of a loan. It is also possible that "property" for purposes of these rules can include multiple properties where they are an "inseparable whole".[80] It is relatively clear that the "acquisition of property" requirement will be met where a client enters into a leveraged insurance program. However, identifying what is the "property" that is being acquired as part of the insured leveraged program is essential for purposes of determining if the other two components of the tax shelter definition apply. When dealing with insured leveraged programs, the "property" is likely the investments acquired from leveraging the insurance policy rather than the insurance policy itself. But it might be argued that both the life insurance policy and investments are the "property" if it is found they are inextricably linked and inseparable. This would be positive for purposes of the tax shelter rules as the premiums payable for the policy would be included in the "cost" of the property under the Mathematical Requirement discussed below.

Discussion - the Property Requirement is satisfied under an EFA. The main issue is whether the life insurance policy is also included in the "property" being acquired by the purchaser.[81]

b) **Representation requirement -** to be a tax shelter, the promoter or a person acting on behalf of the promoter must have made statements or representations to the prospective purchaser that the amounts deductible as a consequence of participating in the acquisition of the property would satisfy the Mathematical Requirement discussed below.[82] Such communications can be verbal or written in nature. The representations do not need to quantify the actual amount of tax benefits but just provide sufficient detail to permit the purchaser to understand the nature of the tax benefits. It is also important to note that the intention or motivation of the actual purchaser is not relevant – what is important is that the promoter has made or "proposed to make" statements that deal with the tax benefits of the arrangement.

Discussion - The Representation Test might be avoided if the insurance advisor makes no verbal or written representations (including those contained in marketing materials or illustrations) which outline the tax deductions available to the client under the EFA. Instead, this should be left to the purchaser's tax advisors to explain and quantify. However, it is recognized that in practice it is difficult to illustrate an EFA without considering the available tax deductions and therefore the Representation Test will often be satisfied.

As noted, the CRA has indicated that where a purchaser receives tax advice from a lawyer or accountant, that advice will not normally amount to "statements or representations". However, where the lawyer or

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[79] See definition of property in subsection 248(1).
[80] Hexalog Ltd. v. Her Majesty the Queen, 2005 TCC 67.
[81] See discussion below relating to insured annuities, where the CRA did not consider the life insurance policy to be part of the "property" for purposes of the tax shelter rules.
[82] The case law dealing with the tax shelter legislation has indicated that tax advice from the client's lawyer or accountant does not amount to "statements or representations" and they will not be considered to be a promoter in respect of the reporting obligations. However, if the lawyer or accountant is "promoting" the shelter to clients and recruiting potential investors they will be considered promotors and subject to reporting obligations.

accountant is advising the client on behalf of the insurance advisor, or assisting in the recruiting of purchasers, their statements and representations will likely meet the requirements of this test.

c) **Mathematical requirement** - the Mathematical Requirement will generally be satisfied if, in any of the first four taxation years after the date on which the property is acquired, the total of amounts represented to be deductible (or deemed to be paid on account of taxes payable) in computing the taxpayer's income in respect of the property during that year or a preceding year, equals or exceeds the cost of the interest in the property at the end of that particular year.[83] The cost of the property will be reduced by any "prescribed benefit" received by entering into the agreement. This test is to be applied at the end of each of the four years, and if the test is satisfied in any of those years the mathematical requirement is met. Should the property include life insurance, the exemption from the accrual rules and credit to the CDA would not be considered as they are not deductions under the Act. However, the interest expense deduction[84] or the collateral insurance deduction[85] would be included in the Mathematical Requirement for insured leveraged programs.

***Prescribed benefits* -** Prescribed benefits is a component of the Mathematical Requirement described above and requires additional discussion. As noted, any prescribed benefit received by the taxpayer will reduce the cost of the property and can therefore result in the failure of the Mathematical Requirement. A broad range of indebtedness used to finance the acquisition of a tax shelter property may be treated as a prescribed benefit if such indebtedness is deemed to be a limited recourse amount.[86] To avoid being treated as a limited recourse amount the following must be present:

- there are bona fide arrangements evidenced in writing for repayment by the debtor of the debt and all interest within a reasonable period **not exceeding 10 years**; and
- interest is payable at least annually at a rate equal to or greater than the lesser of the **prescribed rate** in effect at the time the debt arose and the prescribed rate applicable from time to time during the term of the debt, and such interest is paid no later than 60 days after the end of each taxation year of the borrower.

The CRA has expressed the view that a demand loan is a limited recourse amount and therefore a prescribed benefit.[87] On the other hand, the CRA has indicated that financial projections showing a loan outstanding for a period greater than 10 years was not determinative of whether the loan is a limited recourse loan, although it may be a factor to be considered.[88] The CRA has also indicated that the amount of the prescribed benefit may include the total debt expected to be outstanding for more than 10 years, not just the loan over the 4-year calculation period.[89] However, this will not be relevant if the

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[83] It is whether the amount is deductible that is relevant. The fact that a deduction is not actually claimed is not considered in this formula.
[84] Paragraph 20(1)(c).
[85] Paragraph 20(1)(e.2).
[86] Subsections 143.2(1), (7) or (13).
[87] CRA Advance Tax Ruling 2009-0340381R3 (2010).
[88] CRA TI 2006-0196251C6 dated October 6, 2006.
[89] CRA TI 2008-0302981E5 dated June 7, 2009.

loan has a repayment period not exceeding 10 years. Secondary loans may also be included as a prescribed benefit depending on the terms and conditions of the loan.

In terms of the requirement to pay interest annually, the CRA might take the view that paying the loan by increasing the amount of the debt outstanding may not be sufficient. It is important to actually pay the interest to meet this requirement.

Discussion - Ensuring the term of the loan is less than 10 years is essential to avoiding the loan under an EFA being treated as a prescribed benefit, which otherwise can result in the failure of the Mathematical Requirement. The loan documentation should therefore clearly indicate that the term of the loan is less than 10 years and other documentation/illustrations also indicate this is the case. It is similarly important that the loan documentation not provide for the automatic renewal at the end of the term. Instead, a new loan should be extended that is subject to the lender's regular credit requirements applicable to new borrowers. In addition, the loan interest being charged should be equal to or greater than the prescribed rate and the loan interest be paid at least annually and no later than 60 days after the end of the borrower's taxation year.

CRA's commentary on the tax shelter rules and leveraged insurance/annuity arrangements

The CRA was asked to consider a situation where an individual taxpayer purchased a $1.5 million exempt life insurance policy as well as a $2 million life annuity on their life. The life annuity was funded with $500,000 of personal funds and borrowed funds for the remainder. The bank could demand the loan be repaid at any time and the borrower could also repay the loan at any time. The loan was illustrated to be in place until the death of the life insured and initially provided a fixed interest rate for 10 years. The CRA was asked if the tax shelter rules applied to this arrangement. The CRA indicated that this was a question of fact and that they could not confirm if the tax shelter rules applied to the life annuity (the CRA did not comment on the life insurance policy that was part of this arrangement). However, the CRA did indicate that the demand loan could be considered to be a prescribed benefit if it is established that there were no bona fide arrangements, evidenced in writing and made at the time the indebtedness arose, for repayment of the indebtedness by the borrower within a reasonable period not exceeding ten years.[90]

In a subsequent CRA advance ruling request it was confirmed that while the tax shelter rules could apply to leveraged insured annuity arrangements, on the facts of the particular case the arrangement was not a tax shelter because the taxpayer used some personal capital to acquire the life annuity.[91] In other words, the Mathematical Requirement did not apply.

The CRA responses appear to confirm that life annuities can be considered "property" for purposes of the tax shelter rules. It is also of interest to note that the CRA did not consider the life insurance policy acquired as part of the arrangement to be part of the property being acquired for purposes of the tax shelter rules.

[90] CRA TI 2006-0196251C6 dated October 6, 2006 (French).
[91] CRA TI 2009-0340381R3 (2010) (French).

Reporting obligations and penalties

If the investment arrangement falls with the meaning of a "tax shelter",[92] promoters[93] are required to register these investments with the CRA.[94] Promoters are not permitted to sell, issue or accept consideration in respect of a tax shelter without first obtaining an identification number from the CRA.[95] Promoters who fail to meet the reporting and disclosure requirements are subject to penalties.[96] In addition, the purchaser of a tax shelter will be denied access to all tax deductions and claims that are otherwise available, where the investment is not properly registered as a tax shelter and/or the appropriate filing has not been made to the CRA.[97]

Registration itself does not mean that the tax benefits arising from the arrangement will not be challenged by the CRA. In fact, registration will likely result in CRA scrutiny and the potential for taxpayer assessments if they disagree with the "promised" tax benefits arising from the tax shelter. As well, registration may result in other rules applying that effectively limit the availability of deductions and other tax benefits.[98]

10/8 policies

Although not an issue for most domestic EFAs, when borrowing against a life insurance policy, the rules applicable to 10/8 policies[99] may need to be considered. A 10/8 policy means a life insurance policy that is assigned for a borrowing or a policy loan under the terms of the policy, where either:

(a) the rate of return credited to an investment account under the policy is determined by reference to the rate of interest on the borrowing or policy loan, and such rate of return would not be credited to the account if the borrowing or policy loan was not in existence; or
(b) the maximum amount of an investment account in respect of the policy is determined by reference to the amount of the borrowing or policy loan.

It should be noted that the 10/8 policy rules apply whether the collateral loan is advanced by the life insurance company or another lender. It is therefore possible for an insurance policy to be treated as a 10/8 policy where the loan is advanced by a bank, if the conditions set out in the 10/8 policy definition are otherwise met.

If the lending arrangement and policy features cause the policy to be a 10/8 policy, the following will be the tax consequences:

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[92] Defined in subsection 237.1(1).
[93] Defined in subsection 237.1(1) to mean a person who in the course of a business sells or issues, or promotes the sale, issuance or acquisition of, a tax shelter; acts as an agent or advisor in support of such activities; or accepts consideration in respect of the tax shelter.
[94] Subsection 237.1(2).
[95] Subsection 237.1(4). There are other reporting obligations specified in subsection 237.1(5) and (7).
[96] Subsections 237.1(7.4) and (7.5). The penalties are generally equal to the greater of $500 and 25% of either the total of all consideration received or receivable by a person in respect of the tax shelter or the total of all amounts stated or represented to be the value of the property.
[97] Subsection 237.1(6).
[98] Subsection 143(2) applies to a "tax shelter investment".
[99] 10/8 policy is defined in subsection 248(1).

- Interest on the loan will not be deductible;[100]
- The collateral insurance deduction will not be available, and[101]
- If the 10/8 policy is corporate owned/corporate beneficiary, the credit to the CDA arising from the policy will be reduced by the amount of the borrowing outstanding immediately before the death of the life insured.[102]

Most if not all domestic EFAs are designed to ensure that the 10/8 policy rules will not apply. However, it is possible for some "offshore" leveraging programs to inadvertently meet the 10/8 policy definition with onerous tax consequences to the borrower. It is therefore important to ensure that under such arrangements there is no linkage between the loan interest rate and the credited rate to the policy, no requirement to borrow to obtain the credited rate, and no restriction on the growth of investment accounts in the life insurance policy, to avoid the application of the 10/8 policy rules.

The federal government also indicated when it introduced the 10/8 policy legislation that it would monitor developments to see if structures or transactions are developed to undermine the effectiveness of these rules. In particular, it was stated that if this type of activity does occur the government will determine if further legislative action is warranted, with possible retrospective application of any such legislation.[103]

LIA policies

The rules governing "LIA policies"[104] were introduced to deal with tax benefits arising from the use of leverage secured by a life insurance policy and a life annuity contract.[105] However, as is the case for 10/8 policies, most domestic EFAs are now designed such that the LIA policy rules will not be applicable.

An LIA policy means a life insurance policy:

a) where a policyholder becomes obligated to repay an amount to another person at a time that is dependent on the death of the life insured; and
b) the lender is assigned an interest in the insurance policy and an annuity contract under which the annuity payments will continue for a period that ends no earlier than the death of the life insured.

If a policy is considered to be an LIA policy, the following tax consequences will result:

- The life insurance policy will be considered non-exempt;[106]
- The collateral insurance deduction will not be available;[107]

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[100] Subsection 20(2.01).
[101] Subparagraph 20(1)(e.2)(ii).
[102] Subparagraph (d)(iv) of the definition of capital dividend account in subsection 89(1).
[103] 2013 Budget Papers, Annex 2.
[104] LIA is short form for leveraged insured annuities.
[105] An LIA policy is defined in subsection 248(1).
[106] Subsection 306(1) of the Regulations to the Act.
[107] See the exception for LIA policies in paragraph 20(1)(e.2).

- The death benefit received in respect of the policy will not increase a private corporation's CDA;[108] and
- For purposes of the deemed disposition rules on death, in determining the FMV of shares of a corporation holding an LIA policy, the FMV of the annuity will be deemed to be equal to its purchase price.[109]

As noted above, most if not all domestic EFAs will not be caught by the LIA policy rules since life annuities are not part of the leveraging arrangements.[110] However, offshore EFAs may use term certain annuities as a means of avoiding the LIA policy rules. The pricing of offshore life insurance and annuity products appears to be linked, such that one product would not have been issued without the other. The CRA may choose to challenge these arrangements under a number of different tax provisions.[111]

As was the case for the 10/8 policy legislation, the federal government also indicated when it introduced the LIA policy legislation that it would monitor developments to see if structures or transactions are developed to undermine the effectiveness of these rules. In particular, it was stated that if this type of activity does occur the government will determine if further legislative action is warranted, with possible retrospective application of any such legislation.[112]

The General Anti-Avoidance Rules (GAAR)

In general, the CRA can apply the GAAR to deny a "tax benefit" obtained by a taxpayer if the tax benefit results from an "avoidance transaction" and if it may reasonably be considered that the transaction results in a misuse of the provisions of the Act or in an abuse having regard to those provisions read as a whole.

A "tax benefit" is defined as:

a) a reduction, avoidance or deferral of tax or other amount payable under the Act,
b) an increase in a refund of tax or other amount under the Act (including in cases involving a tax treaty), or

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108 See subparagraph (d)(ii) of the definition of "capital dividend account" in subsection 89(1).
109 Subsection 70(5.3).
110 In addition, at least until recently, due to low interest rates, life annuities have not been an attractive investment vehicle.
111 This was the case in Golini v. The Queen, 2016 TCC 174, where the CRA successfully challenged an offshore leveraged insured annuity arrangement on the basis that the taxpayer received a taxable shareholder benefit from the arrangement, or in the alternative, that the General Anti-Avoidance Rule (GAAR) would be applicable. While the taxpayer appealed the Tax Court of Canada decision, the appeal was withdrawn, and we understand a settlement was entered into between the CRA and the taxpayer.
112 2013 Budget Papers, Annex 2 at page 360. See also CRA TI 2016-0632601C6 dated May3, 2016 where the CRA confirmed its concerns with both domestic and offshore insurance arrangements where the issuance of the life insurance and annuity are linked and don't reflect product pricing where the policies are issued independently of each other. In these circumstances the CRA may attempt to treat both policies as the issuance of one contract (which would not qualify as an exempt life insurance policy) or apply the GAAR to the arrangement. These concerns were restated at the CALU 2022 CRA-Finance Roundtable.

c) a reduction, increase or preservation of an amount that could at a subsequent time be relevant in computing an amount under paragraphs (a) or (b), and result in any of the effects described in paragraph (a) or (b).[113]

An "avoidance transaction" is a transaction from which a tax benefit directly or indirectly results, unless the transaction may reasonably be considered to have been undertaken or arranged primarily for bona fide purposes other than to obtain the tax benefit. When a transaction constitutes an avoidance transaction, the GAAR will apply to the transaction only if it results in a misuse or abuse of the provisions of the Act relied upon to produce the tax benefit.

Budget 2023 proposed to amend the GAAR by:

- Introducing a preamble to the GAAR provisions in the Act intended to help address interpretive issues to ensure the GAAR applies as intended
- Changing the avoidance transaction standard such that a transaction will be an avoidance transaction if the transaction results in a tax benefit and it is reasonable to consider that one of the *main purposes* for undertaking the transaction was to obtain the tax benefit. This reduces the threshold for a transaction to be an avoidance transaction
- Introducing an economic substance rule that will consider the lack of economic substance as an indication of a misuse or abuse under a GAAR analysis
- Introducing a penalty for transactions subject to the GAAR equal to 25 per cent of the tax benefit unless the transaction is disclosed to the CRA (either under the mandatory disclosure rules or voluntarily)
- Extending the normal reassessment period by three years unless the transaction is disclosed to the CRA

The tax community has been invited to comment on these proposals and a number of concerns have been expressed to Finance Canada, in particular relating to the 25 per cent penalty tax and potential that the GAAR could be applied to commonly implemented tax planning arrangements. Thus, if these proposals are enacted as proposed, it will significantly expand the number of transactions that could become subject to GAAR and in particular could be applied to EFA arrangements that are designed to extract surplus from a corporation on a tax preferred basis.

The application of GAAR (as well as the expanded reportable transaction rules) to domestic arrangements will depend on the features of the overall structure and the purpose of the arrangement. For example, where a life insurance need has been clearly established and the policy is primarily for funding liquidity requirements arising on death, and secondarily to support a lending arrangement, the risks of these tax provisions being applied by the CRA are relatively low. On the other hand, where the acquisition of the life insurance policy is secondary to an overall plan and is designed to remove corporate surplus on a low tax basis while the shareholder is still alive, the potential risks of these provisions being applied by the CRA significantly increases. This is clearly demonstrated by the CRA applying the GAAR to an offshore leveraged insurance/annuity arrangement, where it

[113] For example, paragraph (c) could allow the CRA to apply the GAAR to a transaction that creates a credit to a corporation's capital dividend account even though the corporation has not yet elected to pay a capital dividend arising from that credit.

appeared that the insurance and annuity products were linked and would not be issued independently of each other.[114]

Conclusions

EFAs involve a number of different and complex tax issues that require careful review by the client's tax, legal and accounting advisors so the client can be provided with guidance on the associated tax risks and mitigation strategies.

It is also important for the client to understand that the applicable tax laws can be modified in the future, negatively impacting the overall financial and economic benefits of the leverage program. The potential costs (tax and otherwise) of unwinding an EFA should also be reviewed and understood by the client.

Clients also need to appreciate that the implementation and long-term management of an EFA from a tax, accounting and legal perspective can be expensive and must be factored into the overall benefits of implementing such an arrangement.

[114] Supra note 109.